

Neo Banks Vs Fintech Platforms : A Comparative Analysis of Customer Awareness in Rajasthan

Dr. Harshila Jain

Guest Lecturer, University College of Commerce and Management Studies
Mohanlal Sukhadia University, Udaipur (Rajasthan)

Abstract

The Banking Landscape Has Transformed Significantly Due To The Rapid Growth Of Digital Financial Services, Leading To The Emergence Of Neo Banks And Fintech Platforms. This Study Aims To Compare Customer Awareness Of Neo Banks And Fintech Platforms Among Respondents In Rajasthan. The Research Also Studies The Level Of Awareness Of Both The Digital Financial Services.

The Present Study Is Based On Primary Data, Which Is Collected From 400 Respondents (Adult Only) Using A Structured Questionnaire. Judgemental Sampling Method Was Used For Data Collection. The Collected Data Were Analysed Using The Statistical Package For Social Sciences (Spss). Frequency Analysis, One-Sample Chi-Square Test And Mcnemar Test Were Conducted To Analyse The Data And Test The Hypotheses.

The Findings Reveal That Customer Awareness Of Fintech Platforms Is Significantly Higher Than That Of Neo Banks. While 96% Of The Respondents Were Aware Of Fintech Platforms, Only 21.3% Were Aware Of Neo Banks. The Comparative Analysis Further Confirms A Statistical Significant Difference In Customer Awareness Between The Two Digital Financial Services. The Results Suggest That Neo Banks, Being Relatively New To The Indian Financial Market, Remain Less Familiar Than Fintech Platforms. It Recommends That Banks, Policy Makers And Financial Service Provides Should Undertake Effective Awareness Campaigns And Financial Literacy Initiatives To Improve Public Understanding And Encourage The Adoption Of Neo Banks.

Keywords: Neo Banks, Fintech Platforms, Customer Awareness, Digital Banking, Adult Population, Spss.3.

Background of The Study

1. Introduction

The Financial Service Industry Has Gone Through Many Changes In The Recent Years Due To Increased Internet Penetration, Widespread Adoption Of Smart Phones And Rapid Technological Advancements. Digital Innovation Has Reshaped The Way Customer Access Financial Services, Giving Rise To The New Financial Model That Challenge Traditional Banking Systems. Among These Innovations, Neo Banks And Fintech Platforms Have Emerged As Key Players In The Digital Financial World, Offering Convenient, Customer-Centric And Technology-Driven Financial Solutions.

Neo Banks (Koley, 2025) Are Digital-Only Banks That Offer Banking Services Through Mobile Apps And Online Platforms Without Having Physical Branches. In India, Neo Banks Work In Partnership With A Licensed Bank. These Banks Offer Variety Of Banking Services Such As Digital Savings Account, Fund Transfer Facilities, Debit Cards, Bill Payment Services, Investment Options, Loan Facilities, Real-Time Transaction Alerts And Digital Customer Support. Examples Of Neo Banks Are Jupiter Partnered With Federal Bank, Fi Money Partnered With Federal Bank And Niyto Partnered With State Bank Of India And Equitas Small Finance Bank.

Fintech Platforms (Feyen, Frost, Gambacorta, Natarajan, & Saal, 2021) Are Technology-Driven Companies That Use Digital Solution To Provide Financial Services Such As Digital Payments, Money Transfers, Lending, Investments, Insurance And Wealth Management Through Online And Mobile-Banking Platforms. Examples Of Fintech Platforms Are Paytm, Phonepe, Google Pay And Bharatpe.

Generally Customers Get Confuse With Both The Digital Banking Solutions Because Both Provide Digital Financial Solutions Through Online Platforms And Mobile Applications.

However, Neo Banks Are Digital-Only Banks That Focus On Offering Banking Services In Partnership With Licensed Banks, Whereas, Fintech Platforms Are Technology-Based Companies Which Provide Financial Services Such As Digital Payments, Lending, Investments And Insurance Without Functioning As Banks.

2. Objectives Of The Study

1. To Assess The Level Of Customer Awareness Regarding Neo Banks In Rajasthan.

2. To Analyse The Level Of Customer Awareness Regarding Fintech Platforms In Rajasthan.
3. To Compare The Level Of Customer Awareness Of Neo Banks And Fintech Platforms In Rajasthan.

Review Of Literature

(Nair & Jethani, 2026) In Their Empirical Study Analysed That While Young Consumers Show A Moderate To High Level Of Awareness Regarding Neo Banking Services, Actual Adoption Is Primarily Affected By Factors Such As Convenience, Technological Efficiency, Cost Effectiveness, And Ease Of Digital Transactions.

(Palos-Sanchez, Raúl, & Folgado-Fernández, 2025) Have Focused Through Their Research Paper On Practical Implications And Understanding The Transformation Of Banking Through Fintech And Neo Banks, With A Focus On Customer Experience And Sentiment Analysis. Additionally, The Theoretical Implications Of The Manuscript Aligned Existing Literature On The Importance Of Technology And Customer-Centric Approaches, But Offer Nuanced Insights Into The Specific Factors Driving Customer Adoption And The Challenges Faced By Neo Banks.

(Kailashbha, 2025) In His Research Paper Discussed Regarding The Growth Of Neo Banks In India, Major Services, Their Operating Models And Hurdles They Face In A Rapidly Changing Financial Market. With The Help Of Review Of Literature, Market Research And Corporate Reports, This Study Provided A Clear Understanding Regarding The Effects Of Neo Banking On Indian Financial Sector And Its Contribution In Shaping The Future Of Banking.

(Yadav & Sandhu, 2025) Have Examined 12 Neo Banks In India To Determine The Opportunities, Challenges, And Growth In The Neo Banking Industry. The Study Used Descriptive Research Design And Relied On Data From Secondary Sources. The Findings Indicated That Even The Usage Of Neo Banks Is Increasing Rapidly, Traditional Banks Are Unlikely To Be Replaced Shortly And Both Categories Of Banks Can Coexist.

(Mobasheer, 2025) In His Research Compared Neo Banks And Traditional Banks On The Basis Of 2 Criteria, Namely, Consumer Perception And Service Quality. A Sample Of 150 Respondents Was Taken For The Analysis. Further, A Quantitative Research Was Conducted Using Anova (F-Test).

Research Design

1. Hypotheses of The Study

H01: There Is No Significant Difference In The Proportion Of Customers Who Are Aware And Not Aware Of Neo Banks In Rajasthan.

H02: There Is No Significant Difference In The Proportion Of Customers Who Are Aware And Not Aware Of Fintech Platforms In Rajasthan.

H03: There Is No Significant Difference In Customer Awareness Between Neo Banks And Fintech Platforms Among Customers In Rajasthan.

2. Area of Study

The Area Of Study Includes Comparative Study Of Customer's Awareness In Rajasthan State, India's Largest State By Area (3,42,239 Square Kilometres Or 10.4% Of India's Total Area).

Further, The Study Was Conducted In 5 Districts Of Rajasthan- Jaipur, Jodhpur, Alwar, Nagaur, And Udaipur. These Districts Are Selected On The Basis Of Their Population Ranking, According To Census 2011 Population Statistics. Jaipur District Has The Highest Percentage Of Population, I.E. 9.72% With 66,63,971 People, 2nd Number Is Of Jodhpur With 36,87,165 People And 5.37% Share, 3rd District With Highest Population Is Alwar With 5.36% Share And 36,74,179 People, 4th Number Is Of Nagaur With 33,09,234 People And 4.83 % Share And Udaipur District Is On 5th Position With 30,68,420 People And 4.48% Of Total Population. In Total, These 5 Districts Account For About 29.8% Of Rajasthan's Population And 2,04,02,969 People.

3. Type Of Research

Empirical Research Is Conducted To Study Customer's Awareness Regarding Neo Banks And Fintech Platforms, Which Includes Collection Of Primary Data.

4. Nature Of Research

The Nature Of This Study Is Quantitative, Since, Data Collected In This Study Is Analysed In Quantitative Terms And Statistical Techniques Are Also Applied For Analysis.

5. Type Of Data Required In Research

For Carrying Out Research Work, Primary Data Is Used.

6. Methods Of Data Collection:

Primary Data Is Collected Through Structured Questionnaire. The Questionnaire Is Filled By The Adult Population Of Rajasthan To Gather Information On Customer's Awareness Of Neo Banks And Fintech Platforms. The Questionnaire Was Circulated Both Offline And Online (Through Google Forms).

7. Sample Size

The Total Population Of 5 Districts Of Rajasthan, I.E. Jaipur, Jodhpur, Alwar, Nagaur, And Udaipur, Is 2,04,02,969.

For My Study Purpose, Only Adult Population Is Needed. According To Census 2011, Rajasthan's Adult Population Is 68% Of The Total Population. Since The Same Common Factor Applies To Every District, Adult Population Can Be Calculated As Follows:

$$\begin{aligned}\text{Adult Population Of 5 Districts} &= 68\% \text{ Of Total Population} \\ &= 68\% \text{ Of } 2,04,02,969 \\ &= 1,38,74,018 \text{ Adult Population}\end{aligned}$$

$$n = \frac{N \times Z^2 \times p(1 - p)}{e^2(N - 1) + Z^2 \times p(1 - p)}$$

For A Finite Population, The Sample Size Formula (Cocharan, 1977) Is:

Where,

N = Population Size = 1,38,74,018

Z = Z-Score For 95% Confidence Level = 1.96

P = Estimated Proportion = 0.5

E = Margin Of Error = 5% = 0.05

After Putting All The Values In The Above Mentioned Formula

$$n = \frac{13874018 \times 1.96^2 \times 0.5(1 - 0.5)}{0.05^2(13874018 - 1) + 1.96^2 \times 0.5(1 - 0.5)}$$

$$N = 384.15$$

To Analyse The Level Of Customer Awareness Regarding Neo Banks, A Frequency Analysis Was Conducted In Spss Among 400 Respondents. The Results Of The Frequency Analysis Is Mentioned In **Table 1**

Table 1: Level Of Awareness Regarding Neo Banks				
		Frequency	Percent	Cumulative Percent
Number Of Valid Responses	Not Aware	315	78.8	78.8
	Aware	85	21.3	100.0
	Total	400	100.0	

Interpretation: The Table Shows That 315 Respondents (78.8%) Are Not Aware Of Neo Banks, While Only 85 Respondents (21.3%) Are Aware Of Neo Banks. These Results Indicate A Very Low Level Of Customer Awareness Regarding Neo Banking Services In Rajasthan.

1. Findings Related To The Level Of Customer Awareness Regarding Fintech Platforms In Rajasthan:

Again, Frequency Analysis Was Conducted In Spss Among 400 Respondents To Analyse The Level Of Customer Awareness Regarding Fintech Platforms. The Results Of The Frequency Analysis Is Mentioned In **Table 2**.

Table 2: Level Of Awareness Regarding Fintech Platforms				
		Frequency	Percent	Cumulative Percent
Number Of Valid Responses	Not Aware	16	4.0	4.0
	Aware	384	96.0	100.0
	Total	400	100.0	

Interpretation: The Results Indicate That 384 Respondents (96%) Are Aware Of Fintech Platforms, While Only 16 Respondents (4%) Are Not Aware Of Fintech Platforms. The Findings Show A Very High Level Of Customer Awareness Regarding Fintech Platforms In Rajasthan.

2. Findings Related To The Comparison Of The Level Of Customer Awareness Of Neo Banks And Fintech Platforms In Rajasthan.

A Mcnemar Test Was Conducted In Spss To Compare The Level Of Customer Awareness Of Neo Banks And Fintech Platforms Among The Same 400 Respondents. The Test Results Are Shown Below In **Table 3**.

Table 3: Cross Tabulation Of Awareness Levels Of Neo Banks And <u>Fintech</u> Platforms				
		Awareness (<u>Fintech</u>)		Total
		Not Aware	Aware	
Awareness (Neo Banks)	Not Aware	16	299	315
	Aware	0	85	85
Total		16	384	400

Interpretation

The Cross Tabulation Indicates That:

- i. 16 Respondents Were Not Aware Of Both Neo Banks And Fintech Platforms.
- ii. 299 Respondents Were Not Aware Of Neo Banks But Were Aware Of Fintech Platforms.
- iii. No Respondent (0) Was Aware Of Neo Banks But Not Aware Of Fintech Platforms.
- iv. 85 Respondents Were Aware Of Both Neo Banks And Fintech Platforms.

Therefore, The Cross Tabulation Results Clearly Indicates That The Awareness Level Of Fintech Platforms Is Substantially Higher Than The Awareness Level Of Neo Banks.

Inferential Analysis

1. Hypothesis 1: Null Hypothesis 1 (H01): There Is No Significant Difference In The Proportion Of Customers Who Are Aware And Not Aware Of Neo Banks In Rajasthan.

Test Applied In Spss: To Test The Null Hypothesis H01, A One-Sample Chi-Square Test Was Conducted. The Results Of The Test Are Presented Below In **Table 4.**

Table 4: Test Statistics	
	Awareness (Neo Banks)
Chi-Square	132.250
Degree Of Freedom	1
Asymptotic Significance (P- Value)	<.001

Interpretation: The Table Shows That Chi-Square Value Is 132.250 With 1 Degree Of Freedom And P-Value < .001. Since The P-Value Is Less Than The Significant Level Of 0.05, The Result Is Statistically Significant.

Decision: As $P < 0.05$, The Null Hypothesis (H01) Is Not Accepted.

The Findings Reveal A Significant Difference In The Proportion Of Customers Who Are Aware And Not Aware Of Neo Banks In Rajasthan. In Fact, This Indicates The Overall Level Of Customer Awareness Regarding Neo Banks In Rajasthan Is Very Low.

2. Hypothesis 2: Null Hypothesis 2 (H02): There Is No Significant Difference In The Proportion Of Customers Who Are Aware And Not Aware Of Fintech Platforms In Rajasthan.

Test Applied In Spss: A One-Sample Chi-Square Test Was Conducted To Test Null Hypothesis H02. The Results Of The Test Are Indicated Below In **Table 5**.

Table 5: Test Statistics	
	Awareness (Fintech)
Chi-Square	338.560
Degree Of Freedom	1
Asymptotic Significance (P- Value)	<.001

Interpretation: The Test Results Show That Chi-Square Value Is 338.560 With 1 Degree Of Freedom. The P-Value Is < .001, Which Is Less Than 0.05 Level Of Significance. This Depicts That The Result Is Statistically Significant.

Decision: Since $P < 0.05$, The Null Hypothesis (H02) Is Not Accepted.

The Findings Demonstrates That There Is A Significant Difference In The Proportion Of Customers Who Are Aware And Not Aware Of Fintech Platforms In Rajasthan. Hence, It Can Be Concluded That The Overall Level Of Customer Awareness Regarding Fintech Platforms In Rajasthan Is Significantly High.

3. Hypothesis 3: Null Hypothesis 3 (H03): There Is No Significant Difference In Customer Awareness Between Neo Banks And Fintech Platforms Among Customers In Rajasthan.

Test Applied In Spss: Mcnemar Test Results Are Used To Test The Null Hypothesis H03. The Results Are Presented In **Table 6**.

Table 6: Test Statistics		
	Value	Exact Sig. (2-Sided)
<u>Mcnemar Test</u>		<.001
Number Of Valid Responses	400	

Interpretation: It Can Be Seen From Above Table That The Exact Significance (2-Sided) Value Is < .001, Which Is Less Than The Significant Level Of 0.05. Therefore, The Result Is Statistically Significant.

Decision: Since $P < 0.05$, The Null Hypothesis (H03) Is Not Accepted.

The Findings Reveal That Awareness Level Of Fintech Platforms Is Significantly Higher Than The Awareness Level Of Neo Banks In Rajasthan.

Conclusion

The Present Study Studied The Level Of Customer Awareness Regarding Neo Banks And Fintech Platforms With Special Reference To Rajasthan. It Also Compared The Awareness Levels Of Both The Digital Financial Solutions.

The Findings Indicate That Awareness Of Neo Banks Among Respondents In Rajasthan Is Significantly Low, With The Majority Of Respondents Lacking Knowledge Of Neo Bank Services. This Highlights The Need For Increased Promotional Efforts, Customer Education And Financial Literacy Programmes To Improve Awareness And Encourage The Adoption Of Neo Banking Services.

The Findings Related To Fintech Platforms Demonstrate That Respondents Possess High Level Of Awareness Regarding Fintech Platforms. The High Awareness Level Can Be Attributed Due To The Rapid Adoption Of Digital Payment Systems, Mobile Banking Applications And Other Technology-Driven Financial Services.

Further, The Comparative Analysis Concludes That Customer Awareness Of Fintech Platforms Is Significantly Higher Than That Of Neo Banks Among Respondents In Rajasthan. The Findings Of The Study Highlight The Need For Banks, Policy Makers And Service Providers To Strengthen Awareness Campaigns, Improve Financial Literacy And Educate Customers About The Features And Benefits Of Neo Banking Services.

Overall, The Research Concludes That Although Both Neo Banks And Fintech Platforms Are Integral To Digital Finance, Fintech Platforms Currently Enjoy Significantly Higher Customer Awareness And Acceptance Than Neo Banks.

References

- Cochran, W. G. (1977). Sampling Techniques (3rd Ed.). New Delhi, India: Wiley India (P.) Ltd.
- Feyen, E., Frost, J., Gambacorta, L., Natarajan, H., & Saal, M. (2021, July). Fintech And The Digital Transformation Of Financial Services: Implications For Market Structure And Public Policy. Bank For International Settlements, Pp. 1-53.

- Kailashbha, R. N. (2025, August). A Study On Neo-Banking In India: Growth, Challenges, And Future Prospects. *International Journal Of Research - Granthaalayah*, 13(8), 54-64. Retrieved From <https://doi.org/10.29121/Granthaalayah.V13.I8.2025.6328>
- Koley, J. (2025). Neo Banking Ecosystem In India: Drivers, Opportunities And Strategic Implementations For The Financial Sector. *International Journal Of Research In Human Resource Management*, 7(2), 278-286. Retrieved From <https://www.doi.org/10.33545/26633213.2025.V7.I2c.354>
- Mobasheer, D. S. (2025, July). Customer Perception And Service Quality - A Comparative Study Among Traditional And Neo Banks. *International Journal Of Innovative Science And Research Technology*, 10(7), 1902-1908. Retrieved From Issn No: -2456-2165
- Nair, P. D., & Jethani, S. (2026). Customer Awareness And Adoption Of Neo Banks In The Fintech Ecosystem: A Study Among Young Consumers. *International Journal Of Innovative Research In Management Studies (Ijirms)*, 8(4), 112-120.
- Palos-Sanchez, P. R., R. J.-T., & Folgado-Fernández, J. A. (2025, September-December). The Role Of Neo Banks Andfintech In Sustainable Finance And Technology: The Customer/User Perspective For Entrepreneurs. *Sustainable Technology And Entrepreneurship (Stae)*, 4(3), 1-17. Retrieved From <https://doi.org/10.1016/J.Stae.2025.100109>
- Yadav, P., & Sandhu, A. (2025). Neo Banking-Exploring Opportunities And Challenges In The Digital Revolution. *International Journal Of Advanced Research*, 13(02), 11-18. Retrieved From <https://doi.org/10.21474/Ijar01/20348>